

CORPORATE GOVERNANCE

Mindteck India Limited ('Mindteck' or 'the Company') recognizes good corporate governance as a good corporate citizen and is committed to ethical corporate practices based on conscience, openness, fairness, professionalism and accountability, for the benefit of its stakeholders and for long term success.

Over the years, the Company has ensured compliance of statutory requirements, effective governance systems and practices, and has worked towards transparency, disclosures, internal controls and promotion of ethics within the Company.

We comply with clause 49 of the Listing Agreement and substantially comply with the Corporate Governance Voluntary Guidelines. In accordance with clause 49 of the Listing Agreement with the Bombay Stock Exchange in India and some of the best practices followed internationally on Corporate Governance, a report containing the details of the governance system and processes at the Company is as under:

I COMPANY'S PHILOSOPHY ON CODE OF CORPORATE GOVERNANCE

The Company's philosophy on Corporate Governance envisages attainment of highest levels of transparency, accountability and equity in all facets of its operations and in all its transactions with its stakeholders, including its employees, customers, shareholders, vendors, supporting agencies, Government, and society at large.

The Management aims to achieve its objective of increasing stakeholder's value while consistently observing the norms laid down in the Code of Corporate Governance. The Management has institutionalized Corporate Governance at all levels within the Company in order to ensure transparency, good practices and a system-driven style of functioning.

The primary responsibility for ensuring Corporate Governance within the Company rests with the Board of Directors ('the Board'), which has put in place, appropriate policies relating to its membership, deliberations, etc. These policies are in consonance with the requirements of the Listing Agreement and applicable SEBI Regulations. Keeping in view the Company's size, complexity, global operations and corporate traditions, Mindteck has adopted the following main principles:

- (i) Constitution of the Board of the Company of appropriate composition, size and expertise.
- (ii) Ensuring the timely flow of information to the Board and its committees to enable them to discharge their functions effectively.
- (iii) Independent verification and safeguarding integrity of the Company's financial reporting.
- (iv) A sound system of risk management and internal control.
- (v) Timely and balanced disclosure of all material information concerning the Company to its stakeholders.

Our Corporate Governance philosophy is based on the following ideologies:

1. Complete transparency on our operations.

2. Maintaining prescribed levels of disclosure and complete openness in communication.
3. Comply with applicable laws of all countries in which we operate.
4. Maintain high standards of safety and health.
5. Adhere to good governance practices in spirit and not just in letter.

II THE CORPORATE GOVERNANCE STRUCTURE AT MINDTECK

The governance mechanism adopted at Mindteck:

- i. The Board is appointed by the shareholders and is vested with responsibility of conducting the affairs of the Company with the objective of maximization of returns to all stakeholders.
- ii. The Board is responsible for the vision, strategy and good governance of the Company. Board and Committees, ensure accountability and transparency in the affairs of the Company to the Stakeholders by directing and controlling the management activities.
- iii. The Managing Director & CEO, and Senior Management, are responsible for setting up business targets and day to day management of the Company in line with the objectives and principles set by the Board.

A. BOARD OF DIRECTORS

Composition

The Company's Board has an optimum combination of Executive, Non-Executive and Independent Directors with considerable experience in their respective fields to maintain the independence of the Board and to separate the functions of the Board from the management of the Company.

As at March 31, 2010 the Company has five Directors, of which four Directors are non executive and "Independent", as defined in Clause 49 of the Listing Agreement and the Chairman of the Company is an Independent and Non-Executive Director. The Managing Director and CEO manages the day to day affairs of the Company. The office of Chairman and CEO are separated for good governance.

From May 26, 2010, on resignation of Mr. Guhan Subramaniam as Chairman and Director, the Board consists of four members, of whom three are independent directors and one executive director.

None of the Directors on the Board holds directorships more than the maximum limit of directorships including public and private limited companies prescribed under the Act and voluntary CG guidelines. None of the Directors on the Board are members of more than ten Committees or acts as Chairman of more than five Committees across all companies, in which they are directors.

The names and categories of the Directors on the Board, directorships and shareholding are given below:

Director	Category	Age	Shareholding	No. of Directorship(1)		Committee	
				Public	Private	Chairman	Member
Mr. Guhan Subramaniam*	Chairman, Independent, Non-Executive Director	56	Nil	3	-	-	-
Mr. Pankaj Agarwal	Managing Director & CEO	47	1,200,000 (4.85%)	-	7	-	-
Mr. Vivek Malhotra	Independent, Non-Executive director	46	Nil	-	1	-	-
Mr. Indresh Narain	Independent, Non-Executive director	65	Nil	3	-	3	1
Mr. Javed Gaya	Independent, Non-Executive director	54	Nil	1	6	1	-

*Resigned as a Chairman and Director with effect from May 26, 2010.

(1) Excluding directorship in Mindteck (India) Limited.

All the Independent Directors of the Company furnish to the Company a declaration at the time of their appointment that they qualify the test of Independence as laid down in clause 49 of the Listing Agreement and certify annually regarding their independence. None of the Non-Executive/Independent Directors have any material pecuniary relationship or transactions with the Company. None of the Non-Executive/Independent Directors has served on the Board for more than six years.

Board Meetings

The Board normally meets once in a quarter and additionally as and when required. The calendar of BOD meetings is decided

in consultation with the BOD and the schedule of meetings is communicated to all Directors in advance to enable them to schedule their effective participation during the Board meetings.

The Board met five times in the financial year 2009-2010 on May 15, 2009, June 25, 2009, July 31, 2009, October 29, 2009 and January 29, 2010.

Remuneration

During the year, the Company paid the sitting fee of Rs 20,000 per meeting to its Non-Executive Directors for attending meetings of the Board and Rs 10,000 for attending Committee meetings. No remuneration has been paid to the Managing Director and CEO.

Details of attendance of the Directors and sitting fees paid to them are as follows:

Name of the Director	Category	No. of Board Meetings during 2009-10		Whether attended last AGM held on Sep 11, 2009	Sitting fees for Board and Committee meetings (in Rs.)
		Held	Attended		
Mr. Guhan Subramaniam*	Chairman, Independent, Non-Executive Director	5	4	No	160,000
Mr. Pankaj Agarwal	Managing Director & CEO	5	4	Yes	Nil
Mr. Vivek Malhotra	Independent and Non-Executive director	5	3	Yes	120,000
Mr. Indresh Narain	Independent and Non-Executive director	5	5	No	210,000
Mr. Javed Gaya	Independent and Non-Executive director	5	4	Yes	150,000

*Resigned as a Chairman and Director with effect from May 26, 2010.

Non-Executive/Independent Director's remuneration

No remuneration has been paid to Non-Executive/ Independent Directors of the Company during the year. No stock options were granted to, nor exercised by any of the Independent Directors during the year. The Section 309 of the Companies Act, 1956 states that a director who is not a whole time director/MD may be paid remuneration by way of commission, by shareholders' special resolution authorizing the payment. Accordingly, Shareholders' approval will be sought in the ensuing Annual General Meeting (AGM) for payment of remuneration to Non-Executive/ Independent Directors and forms part of Notice convening the AGM.

Shares and options held by Non-executive/ Independent directors

None of the Non-executive independent directors hold shares or options in the Company.

The agenda items for the Board meetings are decided in advance in consultations with heads of various functions and Managing Director, and circulated amongst the Board for their revision. The decisions taken at the Board are promptly communicated to all concerned departments for the completion of the action items arising out of the deliberations

of the meeting. Report on the action items are placed before the Board at their succeeding meeting.

Information and Updates to Board of Directors

- Annual operating plans and budgets, including capital budgets and any updates.
- Quarterly results for the Company and its operating divisions or business segments.
- Minutes of meetings of audit committee and other committees of the Board and of subsidiaries.
- The information on recruitment and remuneration of senior officers.
- Show cause, demand, prosecution notices and penalty notices, which are materially important, if any.
- Fatal or serious accidents, dangerous occurrences, any material effluent or pollution problems, if any.
- Any material default in financial obligations to and by the Company, or substantial nonpayment for goods sold by the Company, if any.
- Any issue, which involves possible public or product liability claims of substantial nature, including any judgment or order which, may have passed strictures on the conduct of the Company or taken an adverse view regarding another enterprise that can have negative implications on the Company, if any.
- Details of any joint venture or collaboration agreement or acquisition, if any.
- Transactions that involve substantial payment towards goodwill, brand equity, or intellectual property.
- Significant labour problems and their proposed solutions. Any significant development in Human Resources/ Industrial Relations front like signing of wage agreement, implementation of Voluntary Retirement Scheme etc, if any.
- Sale of material nature, of investments, subsidiaries, assets, which is not in normal course of business, if any.
- Quarterly details of foreign exchange exposures and the steps taken by management to limit the risks of adverse exchange rate movement, if material.
- Non-compliance of any regulatory, statutory or listing requirements and shareholders service such as non-payment of dividend, delay in share transfers.

All the information to be provided to the Board as per Annexure-1 of Clause 49 of the Listing Agreement was made available to the Board. The Company's Board reviews and takes on record the statutory compliance reports submitted by the Company's Management on quarterly basis. In cases of business exigencies, resolutions of the Board are passed by circulation.

B. BOARD COMMITTEES

The Company has the following committees of Board of Directors:

- (i) Audit Committee
- (ii) HR and Compensation Committee
- (iii) Shareholder/Investor Grievance Committee

(iv) Corporate Governance Committee

(v) Administrative Committee*

*With effect from May 17, 2010

I Audit Committee

The Company's Board has constituted an Audit Committee pursuant to the provisions of the Companies Act, which has all the necessary features as required by the Listing Agreement.

(a) Composition: The Audit Committee comprises of three independent non- executive directors. This experienced composition of the Audit Committee meets the requirements of the Listing Agreement and the Companies Act, 1956.

Effective June 25, 2009, the Committee was re-constituted with Mr. Vivek Malhotra who is a qualified Chartered Accountant as Chairman and Mr. Guhan Subramaniam and Mr. Indresh Narain as members of the Committee. Mr. Guhan Subramaniam resigned as a member of the Committee with effect from May 26, 2010. Mr. Javed Gaya has been appointed as a member with effect from July 2, 2010.

Ms. Usha T N, Company Secretary, acts as the Secretary of the Audit Committee.

(b) Objective/PowersL

Powers of the Audit Committee include:

- (i) To investigate any activity within its terms of reference;
- (ii) To have independent back office support and other resources from the Company;
- (iii) To have access to information contained in the records of the Company or from any employee;
- (iv) To obtain legal or professional advice from external sources;
- (v) To have the facility of separate discussions with both internal and external auditors as well as the management;
- (vi) To secure attendance of outsiders with relevant expertise, if it considers necessary.

(c) Roles and Responsibilities:

- (i) Recommend the appointment, re-appointment and removal of external auditor, internal auditor, approve terms of engagement including fixation of audit fee and also approve the payment for any other services. Committee shall review and monitor the external auditor's independence and objectivity and the effectiveness of the audit process;
- (ii) Review financial reporting process and the disclosure of financial information of the Company and also subsidiaries to ensure that the financial statement is correct, sufficient and credible. Also monitor the integrity of the financial statements of the Company;
- (iii) Review with management the quarterly and annual financial statements before submission to the Board, focusing primarily on;
 - Any changes in accounting policies and practices.

- Major accounting entries based on exercise of judgment by management.
- Qualifications in draft audit report.
- Significant adjustments arising out of audit.
- The going concern assumption.
- Compliance with accounting standards.
- Compliance with stock exchange and legal requirements concerning financial statements.
- Management discussion and analysis of financial condition and results of operations.
- Director's responsibility statement.

(iv) Review the adequacy of internal control systems and review internal audit reports, management letters relating to internal control weaknesses, if any;

(v) Review the adequacy of internal audit function, including the structure of the internal audit department, staffing and seniority of the official heading the department, reporting structure coverage and frequency of internal audit;

(vi) Discussion, review and follow up of the findings of any internal investigations by the internal auditors into matters where there is suspected fraud or irregularity or a failure of internal control systems of a material nature including management override of internal controls and financial irregularities involving management team members;

(vii) Discussions with external auditors before the audit commences about nature and scope of audit, as well as have post-audit discussion to ascertain any areas of concern;

(viii) Review the Company's financial and risk management policies and systems. Assist executive management to identify the risk impacting the Company's business and document the process of risk identification, risk minimization and risk optimization as a part of risk management policy;

(ix) Look into the reasons for substantial defaults in the payment to the depositors, debenture holders, shareholders (in case of nonpayment of declared dividends) and creditors and monitor utilization of funds raised through public and preferential issues;

(x) Review the functioning of the Whistle Blower mechanism established in the Company;

(xi) Monitor and approve all Related Party Transactions including any modification/amendment, with promoters or the management, their subsidiaries or relatives, etc. that may have potential conflict with the interests of the Company at large and periodically review minutes of subsidiary companies;

(xii) Any other matter referred to the Audit committee by the Board of Directors of the Company.

(d) The Audit Committee held five meetings during the year, i.e. on May 15, 2009, June 25, 2009, July 31, 2009, October 29, 2009 and January 29, 2010. The minutes of the meetings are placed before the Board at the succeeding Board Meeting for information. Quorum was present at all the meetings.

Details of attendance of Audit Committee members at the Committee meetings are given below:

Members	No of meetings	
	Held	Attended
Mr. Vivek Malhotra, Chairman	5	3
Mr. Guhan Subramaniam*	5	4
Mr. Indresh Narain	5	5
Mr. Pankaj Agarwal**	5	2
Mr. Javed Gaya***	5	2

* Resigned as a Chairman of the Audit Committee w.e.f from 25.6.2009 and resigned as member with effect from 26.5.2010.

** Resigned as a member of Audit Committee with effect from 25.6.2009.

*** Resigned as a member of Audit Committee with effect from 25.6.2009 and reappointed on 2.7.2010.

II HR & Compensation Committee

(a) **Composition:** As at March 31, 2010, the HR and Compensation Committee is comprised of three members: Mr. Guhan Subramaniam, Chairman, who is Independent Non-Executive Director; Mr. Javed Gaya, Independent Non-Executive Director; and Mr. Pankaj Agarwal, CEO & MD. Mr. Guhan Subramaniam resigned as member of the Committee with effect from May 26, 2010.

(b) **Objective/Powers:** The Terms of Reference of the HR & Compensation Committee include the following:

(i) To decide on all matters relating to the Company's stock option / share purchase schemes including the grant of options/shares to the directors and employees of the Company and/or of its subsidiaries;

(ii) To determine and make suitable recommendations to the Board in all matters relating to qualification, appointment, evaluation and remuneration of the non-executive directors of the Board, executive directors of the Company and its managerial personnel under the Companies Act, 1956;

(iii) To review performance and determine the remuneration payable to Executive Directors;

(iv) Establishment and administration of employee compensation and benefit plans;

(v) To decide and make suitable recommendations to the Board on any other matter that the Board may entrust the Committee with or as may be required by any statutes / regulations / guidelines / listing agreements, etc.

As HR & Compensation Committee is responsible for all the objectives of Nomination Committee as suggested under Voluntary CG guidelines, no separate Nomination Committee has been constituted by the Company.

The Committee held two meetings during the year, on May 15, 2009 and October 29, 2009.

Attendance Record in HR & Compensation Committee Meetings held during the year

Name of Member	Meetings held	Meetings attended
Mr. Guhan Subramanian*	2	2
Mr. Javed Gaya	2	2
Mr. Pankaj Agarwal	2	2
Mr. Vivek Malhotra**	2	-
Mr. Indresh Narain **	2	1

* Appointed as Chairman w.e.f. 25.6.2009 and ceased to be a member w.e.f. 26.5.2010

** Ceased to be members of the Committee w.e.f. 25.6.2009

III Shareholders/Investors Grievance Committee

(a) Composition: The Shareholders / Investors Grievance Committee was formed to undertake the responsibilities of redressing shareholder and investor complaints pertaining to transfer of shares, non-receipt of balance sheet, non-receipt of declared dividend, etc.

On June 25, 2009, the Shareholders Grievance Committee was re-constituted with all Independent and non-executive directors, with Mr. Javed Gaya as Chairman and Mr. Indresh Narain and Mr. Vivek Malhotra as members of the Committee. Mr. Guhan Subramaniam and Mr. Pankaj Agarwal ceased to be the members of the Committee.

Ms. Usha T N, Company Secretary acts as the Chief Compliance Officer.

(b) Objective / Powers: The Shareholders / Investors Grievances Committee approves the transfer of shares, issue of duplicate share certificates etc. The Committee also oversees redressal of the shareholders' grievances/complaints and also the compliance with the SEBI (Prohibition of Insider Trading) Regulations 1992. Further the Committee has delegated the power of transfer of shares to the Company Secretary and M/s. Mondkar Computers Pvt. Ltd., Company's Registrars and Share Transfer Agents to attend to share transfers generally once in fifteen days, which are validated by the Committee.

The Committee met four times during the year, i.e. on June 25, 2009, July 31, 2009, October 29, 2009 and January 29, 2010. The minutes of the meetings are placed before the Board at the succeeding Board Meeting for information. Quorum was present at all the meetings.

Attendance Record in Shareholders/Investors Grievances Committee Meetings held during the year

Name of Member	Meetings held	Meetings attended
Mr. Javed Gaya*	4	3
Mr. Vivek Malhotra	4	3
Mr. Indresh Narain	4	4
Mr. Pankaj Agarwal**	4	1
Mr. Guhan Subramaniam**	4	1

* Appointed as Chairman w.e.f. 25.6.2009

** Ceased to be members of the Committee w.e.f. 25.6.2009 and ceased to be directors with effect from 26.5.2010.

Report of Investor complaints received and resolved during year ended 31.3.10:

	No. of cases outstanding as on April 1, 2009	No. of cases added during the year	No. of cases resolved during the year	No. of cases outstanding as on March 31, 2010
No. of Investor issues	Nil	6	6	Nil
No. of legal cases	Nil	Nil	Nil	Nil

There were no outstanding complaints pending for more than one month. There were no cases which were not solved to the satisfaction of shareholders.

IV Corporate Governance Committee

(a) Composition: The Committee consists of three directors: Mr. Indresh Narain, Chairman of the Committee, is an Independent Director; Mr. Guhan Subramaniam, Independent Director; and Mr. Pankaj Agarwal, MD and CEO. Mr. Guhan Subramaniam, ceased to be a member with effect from May 26, 2010.

(b) Objective: Objectives of the Committee are to ensure excellence in governance, foster standards of business conduct, and aim to achieve highest levels of transparency, accountability and equity in all facets of operations and transactions in pursuit of increasing value to Stakeholders.

Terms of reference of the Corporate Governance Committee:

(i) Review Board/Corporate Codes and make suitable recommendations to the Board from time to time.

(ii) Oversee Corporate Social Responsibility and Sustainability related issues.

(iii) Review the Structure/Charters of other Board Committees and make suitable recommendations to the Board from time to time.

(iv) Recommend best practices and standards in any particular area to the Board of Directors as per its mandate.

During the year the Committee met on October 29, 2010 and all members were present.

V Administrative Committee

(a) Composition: The Committee consists of two directors, Mr. Indresh Narain, an Independent Director and Mr. Pankaj Agarwal, MD & CEO.

(b) Objective: Objectives of the Committee are to enable the Directors to take faster decisions on day-to-day affairs of the Company, which would include transactions like authorization to officials, opening of bank accounts etc in the course of normal day-to-day business. Any such decision taken by the Administrative

Committee needs ratification by the entire Board in their forthcoming meeting, failing which such resolutions stands to be cancelled.

Terms of Reference of the Administrative Committee:

The Admin Committee is authorized to pass resolutions either at a meeting or through circular resolution relating to normal business transaction and such transaction include, but not limiting to:

- (i) Appointment and authorization of employees of the Company for the conduct of the day-to-day transactions;
- (ii) Raise loans and cash credits for day to day transaction of the Company and create charges and satisfaction of loans/charges and authorize MD or any officials of the Company;
- (iii) Opening of bank accounts and authorize the officials of the Company to operate the accounts;
- (iv) Principal Officer of the Company to raise such loans required from time to time for the operations of the Company;
- (v) Registration of transfer of shares and authorize issue of duplicate share certificates or to delegate the authority to Company Secretary or the STA;
- (vi) Authorization to attend meetings on behalf of the Company;
- (vii) Allotment of shares on exercise of ESOP by the employees;
- (viii) Open branch offices/ units and enter into lease agreements for premises;
- (ix) Engage service providers for the Company, and
- (x) Conduct any such activities in the normal course of day to day business.

The Committee has not met during the period under review.

C OTHER DISCLOSURE

Related Party Transaction

During the year 2009-10 no materially significant related party transactions have been entered into by the Company with the Directors or management or their relatives that may have a potential conflict with the interest of the Company at large. The transactions with subsidiaries were at arm's length. Schedule 16 of the Financials as at March 31, 2010 contains list of related party relationships and transactions as required by Accounting Standard-18 on Related Party Disclosures as specified in Companies (Accounting Standards) Rules, 2006.

Disclosures regarding the appointment or re-appointment of directors

According to the Article 112 Articles of Association of the Company, one third of the directors retire by rotation and if eligible, seek re-appointment at the shareholders annual meet. Mr. Vivek Malhotra will retire by rotation in the ensuing AGM. The Board has recommended his re-appointment and sought shareholders approval provided in the Notice convening the

AGM. A copy of the Appointment letter will be made available to Shareholders at the venue of the meeting.

Details of non-compliance by the Company, penalties, strictures imposed on the Company by Stock Exchanges or Securities and Exchange Board of India ('SEBI') or any statutory authority, on any matter related to capital markets, during last three years.

No penalties have been imposed on the Company by the Stock Exchange or SEBI or any other statutory authority on any matter related to capital market during the last three years.

Communication to Shareholders

(i) Quarterly Results:

The Company has published its quarterly financial results in the Business Standard (English) and Times of India/ Samyuktha Karnataka (Kannada) /Times Nation (Kannada) newspapers during the year ended March 31, 2010. The results have also been submitted to the Bombay Stock Exchange where the Company's equity shares are listed and posted on the Company's website (www.mindteck.com).

(ii) News Releases and Presentations:

Official news releases, detailed presentations made to media, analysts etc. are displayed on the Company's web site: www.mindteck.com

(iii) Web Site:

The Company's web site www.mindteck.com contains a separate dedicated section "Investor Relations" where all the shareholders' information is available along with the full annual report of the Company.

(iv) Annual Report:

The annual report of the Company containing the annual audited financial statements, both standalone and consolidated, along with the Auditors' Report thereon, the Director's Report, Management Discussion and Analysis Report and other important information is circulated to the shareholders of the Company.

Postal Ballot

For the year ended March 31, 2010, there was no ordinary or special resolution that was needed to be passed through postal ballot.

Compliance Certificates

Certificate on Corporate Governance: As required under clause 49 of the Listing Agreement, a certificate of compliance of Corporate Governance given by B S R & Company, Statutory Auditors, confirming the Company's compliance with Clause 49 of the Listing Agreement is annexed hereto, and forms part of the Annual Report. The Secretarial Audit Reports as required under Listing Agreement have been filed with Stock Exchange periodically.

CEO and CFO Certificate: The Certificate given by the Group CEO / MD and CFO as per clause 49 in the prescribed format also form part of the Annual Report.

Code of Conduct

In compliance with Clause 49 of the Listing Agreement, the Company has adopted a Code of Ethics for Directors and Senior Management. A copy of the said Code of Ethics is available on our website www.mindteck.com.

DECLARATION REGARDING COMPLIANCE BY BOARD MEMBERS AND SENIOR MANAGEMENT PERSONNEL WITH THE COMPANY'S CODE OF CONDUCT

This is to confirm that the Company has adopted a Code of Conduct for its Senior Management, including the Managing Director and Non-Executive Directors. I confirm that the Company has, in respect of the financial year ended March 31, 2010, received from the Senior Management Team of the Company and the Members of the Board a declaration of compliance with the Code of Conduct as applicable to them.

May 17, 2010
Bangalore

Pankaj Agarwal
Managing Director & CEO

Risk Management

The Company has laid down systems to inform Board members about the risk assessment and minimization procedures. The risks and Company's mitigation strategies are more fully described in the risk management section and these procedures are periodically reviewed by the Board of Directors to ensure effective controls.

Compliance with Laws

Mindteck believes in commitment to values and compliance of laws which are the hallmarks of good corporate governance. Legal Compliance Management at Mindteck transcends to using compliances as a yardstick to measure and manage business risks to maximize the stakeholder's values. The Board periodically reviews the status of compliance and the Company continuously aims to be compliant of all applicable laws at all times.

Management Discussion and Analysis

A Management Discussion and Analysis report has been included in the Annual Report.

During the year, the executive management interacted with clients, investors and officials of statutory departments and government. During the year, the Company has done appraisal of all employees and officers for performance evaluation and compensation. During the year, there were no instances of any material financial and commercial transactions in which the Management had personal interest that had a potential conflict with the interest of the Company at large.

Subsidiaries

The Company has no material Indian non-listed subsidiary.

Compliance with mandatory requirements under clause 49 of the listing agreement

The Company had complied with all requirements prescribed by SEBI and other statutory authorities on all matters relating to corporate governance and capital market from the period April 1 2009 to March 31, 2010.

Compliance with mandatory and non-mandatory requirements under clause 49 of the Listing Agreement

The Company has disclosed all the mandatory requirements under clause 49 of the Listing Agreement. Among the non-mandatory

requirements of the clause 49 of the Listing Agreement, the Company has set up HR & Compensation Committee and has a Whistle Blower Policy in place.

HR & Compensation Committee

We have instituted a Compensation Committee. A detailed note on the Committee is provided in the Annual Report.

Whistle Blower

The Company has adopted a Whistle Blower Policy and has established the necessary mechanism in line with clause 49 of the Listing Agreement with the Stock Exchanges, for employees to report concerns of alleged wrongful conduct, including unethical behavior, Financial Irregularities, Sexual Harassment, Infringement and misuse of Intellectual Property.

SHAREHOLDERS INFORMATION

Forthcoming Annual General Meeting (AGM)

AGM for the year 2009-10 is scheduled on August 11, 2010 at 4.00 p.m. at Redwood, Hotel Royal Orchid Central, 47/1, Dickenson Road, Manipal Centre, Bangalore 560 042.

Location and time of last three AGMs held

Date of AGM	Time of AGM	Location
September 28, 2007	4.00 p.m.	HAL Convention Centre, Airport Road, Marathahalli, Bangalore 560 037
July 30, 2008	4.00 p.m.	Redwood, Hotel Royal Orchid Central, Manipal Centre, 47/1 Dickenson Road, Bangalore 560 042
September 11, 2009	4.00 p.m.	Redwood, Hotel Royal Orchid Central, Manipal Centre, 47/1 Dickenson Road, Bangalore 560 042

The following special resolutions were passed by the Company in its AGM/ EGMs listed below:

(i) AGM- September 28, 2007

- Appointment and payment of remuneration to the Company's Manager under the Companies Act, 1956.
- Increase in the Company's Authorized Capital u/s 94 of the Companies Act, 1956.
- Issue of equity shares to FI's, Bodies Corporate, FII's and/or high networth individuals on a private/preferential placement basis.

(ii) EGM- November 30, 2007

- Acquisition of ICI Tech Holdings Inc. on cash/stock basis.
- Issue of equity shares to shareholders of ICI Tech Holdings Inc and other investors.

(iii) EGM- February 05, 2008

- Acquisition of Mindteck Singapore Pte. Ltd., Mindteck UK Ltd and Chendle Holdings Ltd. on a cash/stock basis.
- Issue of equity shares to shareholders of Mindteck Singapore Pte. Ltd., Mindteck UK Ltd and Chendle Holdings Ltd. and other investors.

(iv) AGM – July 30, 2008

- Adoption of Mindteck Employees Stock Option Scheme 2008.
- Extension of Mindteck Employees Stock Option Scheme 2008 to the employee of its subsidiaries across the globe.
- Appointment and payment of remuneration to the Company's Managing Director under the Company's Act, 1956.
- Issue of equity shares to shareholders of Chendle Holdings Ltd. and other investors.

(v) EGM – January 19, 2009

- Issue of equity shares to shareholders of Chendle Holdings Ltd. and other investors.

(vi) EGM – May 5, 2009

- Reduction of capital by writing down share premium account.

No special resolutions were passed through the postal ballot procedure during the year ended March 31, 2010.

Financial Calendar: 1 April 2009 to March 31, 2010.

Book Closure dates for the forthcoming AGM: August 2, 2010 to August 11, 2010 (both days inclusive).

Mindteck's equity shares are listed on the Bombay Stock Exchange Limited ('BSE') as at March 31, 2010 and Stock code is – 517344.

Address of Registrar and Transfer Agents

M/s. Mondkar Computers Pvt. Ltd.,
25, Shakil Niwas, Mahakali Caves Road,
Andheri (East), Mumbai – 400 093.
Email address: santosh gamare [gamare@mondkarcomputers.com]

Share Transfer System

The Company's Registrars and Share Transfer Agent, M/s. Mondkar Computers Pvt. Ltd., processes shares sent for transfer/transmission etc. in two batches every month and ensures that the share transfers/transmissions, etc. are effected within stipulated time. Transfers/transmissions, which are complete in all respects, are processed and the certificates in respect thereof are returned to the lodger/shareholder within 30 days of lodgment.

Dematerialization of Shares and Liquidity

Effective August 28, 2000 it has become compulsory to trade the Company's shares in dematerialized form. Since the shares of the Company are falling under compulsory demat category, the chances of fraudulent interception, etc. have been reduced considerably. The Company continues to receive requests for demat on a regular basis and the same is being facilitated through the Depository Services provided by National Securities Depository Ltd. and Central Depository Services Ltd. The Company, in co-ordination with its Registrars & Share Transfer Agents, M/s. Mondkar Computers Pvt. Ltd. facilitates simultaneous transfer of shares and dematerialization. This reduces correspondence, time and effort of all shareholders by ensuring maximum investor satisfaction and transparency.

As of March 31, 2010, 98.12% of our shares were held in dematerialized form.

Investor's complaints

Name of the Complaint	2010		2009	
	Received	Attended	Received	Attended
No. of investors issues	6	6	7	7
No of legal cases	Nil	Nil	Nil	Nil

There are no legal proceedings related to disputes in the matter of investors' grievances.

Shareholders holding more than 1% of the Company (other than promoters of the Company)

#	Name of shareholders	No. of shares	% of holding
1	Banco Efisa S.A.	2,726,668	11.01
2	Infotech Ventures Ltd.	261,747	1.06
3	Tadhamon International Islamic Bank	802,000	3.24
4	Mahesh Tharani	320,149	1.29
5	Pankaj Agarwal	1,200,000	4.85
6	Mindteck Employees Welfare Trust	416,000	1.68
7	Mindteck Investors Trust	784,447	3.17

SOFTWARE DEVELOPMENT CENTERS:**Bangalore:**

- 16/3, Cambridge Road, Ulsoor, Bangalore 560 008.
- 2730, 'Trikanika', 80ft Road, Opp. CMH Hospital, Bangalore 560 038

Kolkata:

- Millennium City Information Technology Park, Unit: T-2 9C, Tower II, 9th and 14th Floors, Sector V, Block DN, Salt Lake Electronics Complex, Kolkata – 700 091

Delhi:

- 75/C (SF) Sector 18, Gurgaon, Haryana- 122 002

Compliance Officer and Registered Office Address for Correspondence:

Ms. Usha T N
VP, Legal & Company Secretary
Mindteck (India) Limited
16/3, Cambridge Road,
Bangalore 560 008.
Phone+91 80 4154 8013; Fax: +91 80 4112 5813
Email: Usha.TnRam@mindteck.com

For additional information on the Company refer to website: **www.mindteck.com**

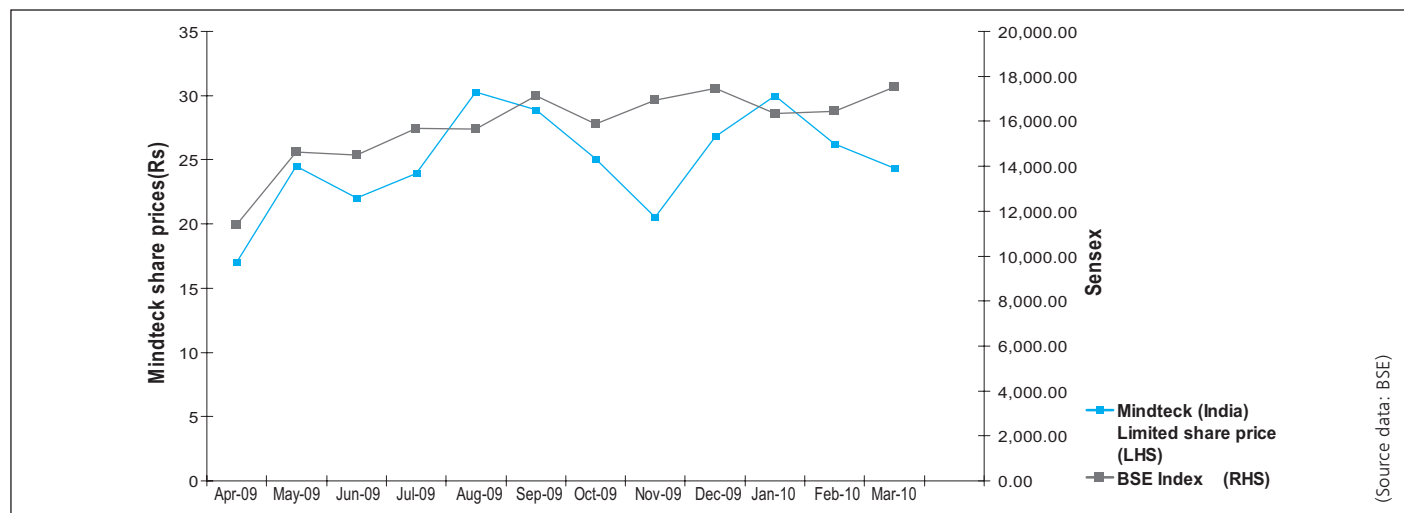
Market Price Data: High, Low of Company's equity shares on the Bombay Stock Exchange, Mumbai during each month in the year ended March 31, 2010

Month	Sensex		Share Price		Trade	
	High	Low	High Rs.	Low Rs.	No. of shares traded	Value Rs.
April 2009	11,492.10	9,546.29	18.97	13.75	30,651	531,494
May 2009	14,930.54	11,621.30	25.50	15.00	31,039	640,360
June 2009	15,600.30	14,016.95	25.75	19.55	26,043	607,883
July 2009	15,732.81	13,219.99	24.95	19.00	9,515	210,629
August 2009	16,002.46	14,684.45	34.55	21.50	24,829	704,134
September 2009	17,142.52	15,356.72	31.50	25.80	26,405	758,356
October 2009	17,493.17	15,805.20	29.95	24.75	16,859	465,825
November 2009	17,290.48	15,330.56	25.50	20.00	47,048	1,071,007
December 2009	17,530.94	16,577.78	29.20	21.20	35,847	958,031
January 2010	17,790.33	15,982.08	37.20	26.75	73,342	2,345,349
February 2010	16,669.25	15,651.99	32.40	25.00	11,643	3361,41
March 2010	17,793.01	16,438.45	30.70	22.80	56,041	1,437,655

Performance in comparison to broad-based BSE Index & BSE IT Index

Month	Closing share price on month's last trading day (Rs)	BSE Index	BSE IT Index
April 2009	16.99	11,403.25	2,663.35
May 2009	24.50	14,625.25	2,997.55
June 2009	22.05	14,493.84	3,287.20
July 2009	23.95	15,670.31	3,962.12
August 2009	30.25	15,666.64	4,172.52
September 2009	28.90	17,126.84	4,570.91
October 2009	25.11	15,896.28	4,425.52
November 2009	20.55	16,926.22	4,757.27
December 2009	26.80	17,464.81	5,186.35
January 2010	30.00	16,357.96	4,977.71
February 2010	26.25	16,429.55	5,173.99
March 2010	24.35	17,527.77	5,237.50

Performance of Mindteck shares in comparison to BSE Index :



Distribution of Shareholding as on March 31, 2010

	As on March 31, 2010				As on March 31, 2009			
Range	Shareholders		Shares		Shareholders		Shares	
No. of Shares	Numbers	% to Total	Numbers	% to Total	Numbers	% to Total	Numbers	% to Total
1 – 500	7,414	95.38	494,737	1.998	7,603	95.23	513,927	2.08
501 – 1000	178	2.29	143,481	0.579	186	2.33	149,161	0.60
1001 – 2000	75	0.97	109,153	0.441	76	0.95	110,180	0.44
2001 – 3000	26	0.33	62,399	0.252	30	0.38	75,205	0.30
3001 – 4000	14	0.18	49,305	0.199	9	0.11	31,255	0.13
4001 – 5000	8	0.10	35,628	0.144	7	0.08	32,336	0.13
5001 – 10000	30	0.39	221,294	0.894	19	0.24	140,032	0.57
10001 & above	28	0.36	23,648,596	95.494	54	0.68	23,712,497	95.75
Total	7,773	100.00	24,764,593	100.000	7,984	100.00	24,764,593	100.00

Shareholding Pattern as on March 31, 2010

	No. of shares	% of holding
(A) Shareholding of Promoter and Promoter Group		
1 Indian	-	-
2 Foreign	16,169,857	65.29
Sub Total(A)	16,169,857	65.29
(B) Public shareholding		
B1 Institutions	0.00	0.00
B2 Non-institutions		
1 Bodies Corporate	85,566	0.35
2 Individuals	1,175,812	4.75
3 NRI/OCBs	2,209,590	8.92
4 Clearing Members	8,378	0.03
5 Foreign National	98,783	0.40
6 Foreign Corporate Bodies	3,790,415	15.31
7 Foreign Bank	25,720	0.10
8 Mindteck Employees Welfare Trust	416,000	1.68
9 Mindteck Investors Trust	784,447	3.17
Sub-Total B1+B2	8,594,711	34.71
TOTAL (A)+(B)	24,764,593	100.00

Disclosure of Utilization of Funds raised through preferential issue:

Particulars	Amount (Rs)
Amount raised through preferential issues during the year ended March 31, 2008	283,042,002
Amount raised through preferential issues during the year ended March 31, 2009	14,985,477
Total	298,027,479
Deployment of proceeds in previous years	
- Cash consideration for acquisition of subsidiaries	99,304,500
- Repayment of term loan	9,520,593
- Additional investment in wholly owned subsidiary, Mindteck USA Inc.	114,324,884
- Working capital requirements of the Company	19,697,186
Deployment of proceeds in current year	
- Additional investment in wholly owned subsidiary Mindteck Inc.	
(to the extent of funds remaining unutilized from the preferential issue proceeds)	55,180,316
	298,027,479

Entire funds raised through preferential issue have been utilized for the purpose for which it has been raised.

Transfer of Unpaid/ Unclaimed amounts to "Investor Education and Protection Fund"

Section 205C of the Companies Act, 1956, read with the Investors Education and Protection Fund (Awareness and Protection of Investors) Rules, 2001 of the Companies Act, 1956 mandates that the Companies transfer dividend that is unclaimed for a period of 7 years from the date it became due to the Investor Education and Protection Fund (IEPF) Account.

In accordance with the above provision, Mindteck has credited a total of Rs 96,436 to the Investor Education and Protection Fund Account. Details of the aforesaid are as under:

Type of Investment	Amount in Rs.
Dividend	89,861
Refund of Rights Issue Proceeds	6,575
Total	96,436

The dividends if not claimed within 7 years by the shareholders will be transferred to Investor Education and Protection Fund (IEPF) Account.

On behalf of the Board of Directors

Bangalore
Date: July 2, 2010

Pankaj Agarwal
Managing Director & CEO